

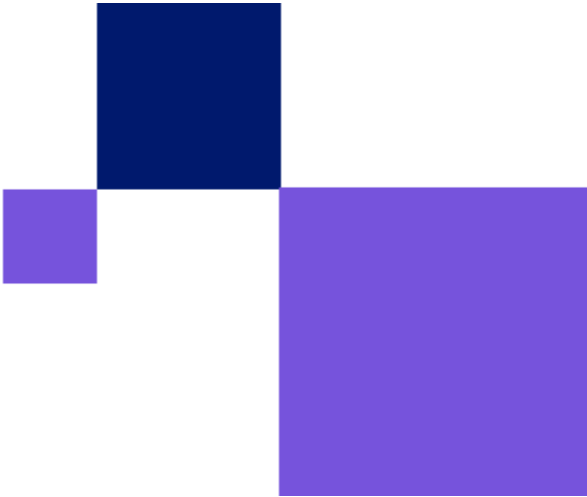


Foundations of Financial Accounting (ACC107)

Lecture 6

Irrecoverable debts and allowance for irrecoverable
debts; accruals and prepayments

Chapters 15 & 16



Learning outcomes

- Explain the nature of irrecoverable debts (bad debts), allowances, and allowances for irrecoverable debts;
- Show the entries for irrecoverable debts and allowances for irrecoverable debts in the journal, ledger, statement of profit or loss and statement of financial position.
- Explain the conceptual foundation of accruals and prepayments;
- Show the entries for accruals and prepayments in the journal, ledger, statement of profit or loss and statement of financial position;
- Prepare simple final financial statements from a trial balance making the required adjustments for accruals and prepayments;

Post Trial Balance adjustments

- In previous classes you saw that we use the trial balance to assist in the preparation of the financial statements.
- The trial balance is a list of the balances in the ledger at the end of an accounting period, divided between those ledger accounts with debit balances and those with credit balances.
- However, adjustments need to be made for some items at the end of the accounting period to ensure that the financial statements accurately reflect the company's financial position, and that the business is in compliance with accounting standards and regulations.

Example of adjustments

- Depreciation (L5)
- Doubtful Debts (L6)
- Accruals + Prepayments (L6)
- Inventory (L4+L7)

Irrecoverable debts

- **Irrecoverable debts** arise when a trade receivable (credit customer) is unable (or unwilling) to pay the amount owed in respect of goods sold on credit.
- Irrecoverable debts are sometimes called '**bad debts**' or '**credit losses**'.
- Treating a debt/receivable as irrecoverable is a matter of judgement. A debt may be irrecoverable because:
 - the credit customer cannot be traced;
 - it is not financially worth taking the case to court; or
 - the customer has been declared bankrupt and the business won't receive any further payment from the customer.

The ledger entries for irrecoverable debts

When it is decided that a customer balance is irrecoverable the debt is written off as follows :

Dr.	Credit loss expense (Expense ↑)	£XXX	
Cr.	Customer a/c (Trade receivables a/c ↓)		£XXX

The nature of an allowance for irrecoverable debts

- As well as writing off irrecoverable debts, business may make an allowance for Irrecoverable debts to allow for the fact that some receivables balances are doubtful and may not be recoverable in the future.
- An allowance for irrecoverable debts is an application of the prudence concept
- Prudence is the exercise of caution when making judgements under conditions of uncertainty.
- The exercise of prudence means:
 - Revenue is earned and *not overstated*, expenses are complete and *not understated*.
 - Assets are *not overstated* and liabilities are complete and *not understated*.
- This allows the user to have confidence that net profits are *not overstated*.

Irrecoverable Versus Doubtful debts

An **irrecoverable debt** is where it is deemed that the customer **is** not going to pay. For example, the customer may have died leaving no assets, or may have disappeared without trace. When a debt is deemed to be irrecoverable it is written off.

A **doubtful debt** is where we are worried that the customer **might** not pay. For example, the debt may have been outstanding for some time and the customer may not be replying to letters

Doubtful debts

- When we have doubtful debts, **the debt is not written off** (not removed from trade receivables) as it is not certain that they are irrecoverable. However, in accordance with the prudence concept we should **create an allowance**.
- We call this the *'allowance for irrecoverable debts'*

Study Note

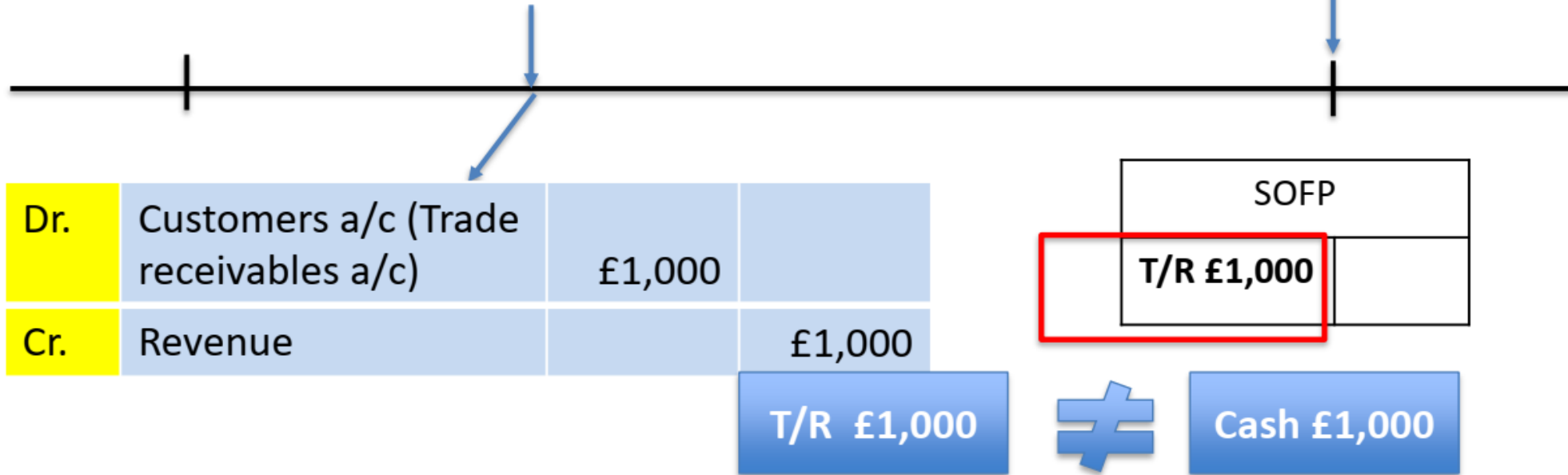
*You may see slightly different account names in different books e.g. *'allowance for Irrecoverable Receivables'* or just *'allowance for receivables'**

Allowance for Irrecoverable Debts Illustration (1/2)

Current period

At the end of the
accounting period:

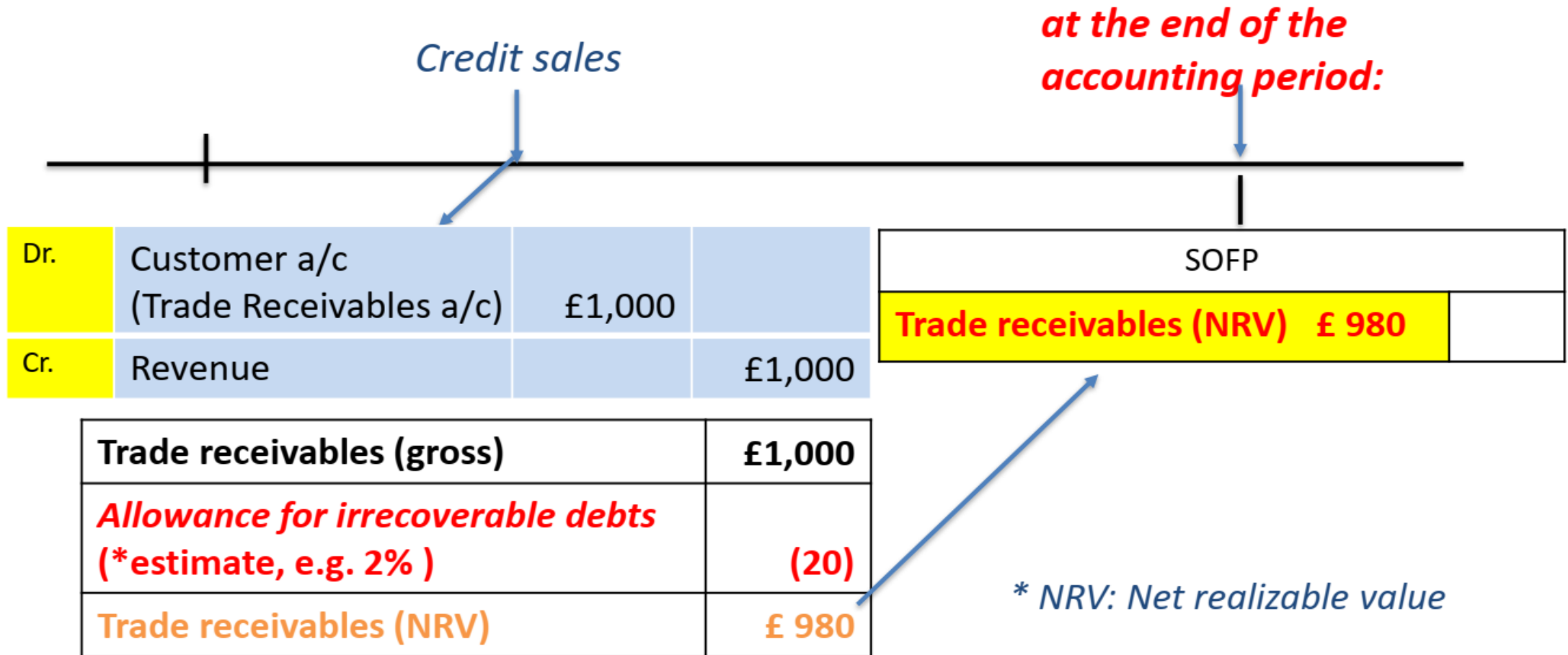
Credit sales



But what if for example,

- From past experience, *we found that approximately 2% of Trade receivables are uncollectible/irrecoverable* for various reasons (e.g., customers going bankrupt).

Allowance for Irrecoverable Debts Illustration (2/2)



From past experience, *we found that approximately 2% of Trade receivables are uncollectible/irrecoverable* for various reasons (e.g., customers going bankrupt).

Types of allowances for irrecoverable debts

An allowance for irrecoverable debts can consist of either or both of the following:

- A *specific allowance* in respect of a *particular* trade receivable (credit customer) that has been identified as unlikely to pay their debts (** will not be tested*)
- A *general allowance* representing an estimate, usually computed as a percentage, of the trade receivables at the end of the accounting year who are unlikely to pay their debts.

A general allowance for irrecoverable debts involves the use of an estimation technique (** the percentage will be given to you in the exam*).

Note: The general allowance against the trade receivables balance is made after writing off any irrecoverable debts

The ledger entries for an allowance for irrecoverable debts/receivables

A debit (or credit) is made to the SPL each year that consists of **an amount necessary to increase (or decrease) the allowance at the end of the previous year to the amount required at the end of the current year.**

- An increase in the allowance (= Expense)

Dr.	Financial performance a/c (* Expense)	£XXX	
Cr.	Allowance for credit losses a/c (SOFP)		£XXX

- Decrease in the allowance (= Income)

Dr.	Allowance for credit losses a/c (SOFP)	£XXX	
Cr.	Financial performance a/c (* Income)		£XXX

- An allowance account is considered a “*contra asset*” account because **it reduces the amount of an asset**, in this case **the trade receivables**. The **balance on the allowance for irrecoverable debts account** is **deducted from trade receivables in the statement of financial position**

Worked Example - Adapted from example 15.1 (calculating the allowance)

A. Jones has an accounting year ending on 30 November. **At 30 November 20X8** his ledger contained the following accounts:

	£
Trade receivables	20,000
Allowance for irrecoverable debts	400

The trade receivables at **30 November 20X9** were £18,300. **This includes an amount of £300 owed by F. Simons that is considered to be irrecoverable.**

You have been instructed to make a **general allowance for irrecoverable debts** of **5 per cent of trade receivables** at year end.

Show the double entries in respect of the above and the relevant statement of financial position and statement of profit or loss extracts.

Worked Example - Adapted from example 15.1 (calculating the allowance)

Allowance for irrecoverable debts at 30 November 20X9	£
General allowance – $5\% \times (£18,300 - £300)$	<u>900</u>

Note: The general allowance is provided on the debts remaining after:

- writing off irrecoverable debts

Example 15.1 Double entry & presentation in Financial Statements

Irrecoverable receivable:

Dr	Irrecoverable debts expense	300	
Cr	Trade receivables account		300

Movement in the allowance:

Dr	P&L a/c (with expense)	500		
Cr	Allow for Irrecoverable debts a/c (SOFP)		500	This moves the balance on the allowance account from £400 to £900

SPL	
Revenue...	
<i>Less Expenses</i>	
1. Irrecoverable debts	£300
2. Increase in allowance for irrecoverable debts	£500*
<i>*500 = 900 – 400 (previous allowance)</i>	
Total expenses	£800

SOFP	
<i>Current Assets</i>	
Trade receivables	£17,100 (w)

Trade receivables (18,300-300)	£18,000
Allowance for irrecoverable debts	(900)
Trade receivables (NRV)	£17,100

* Working

Summary of Irrecoverable debts and allowance for irrecoverable debts

- **Irrecoverable debts** are amounts due from credit customers which are **deemed** to be irrecoverable.
- **Irrecoverable debts written off reduce trade receivables** and create **an expense** in the statement of profit or loss.
- **Allowances** for irrecoverable debts are amounts set aside for the expected losses, wherein it is reasonable to **suspect** that some trade receivables will not be recovered.
- The allowance for irrecoverable debts **reduces** the total balance of trade receivables
- Movements in the allowance for irrecoverable debts affect the statement of profit or loss
 - allowance ↑ = expense or
 - allowance ↓ = income

Lecture Part 2

Accruals and prepayments (Ch.16)

Cash basis vs Accruals basis

Cash basis (收付实现制)

Transaction is recognized WHEN **cash is received or paid**

Accrual basis (权责发生制)

Transaction is recognized WHEN it **occurs** regardless of cash receipt or payment



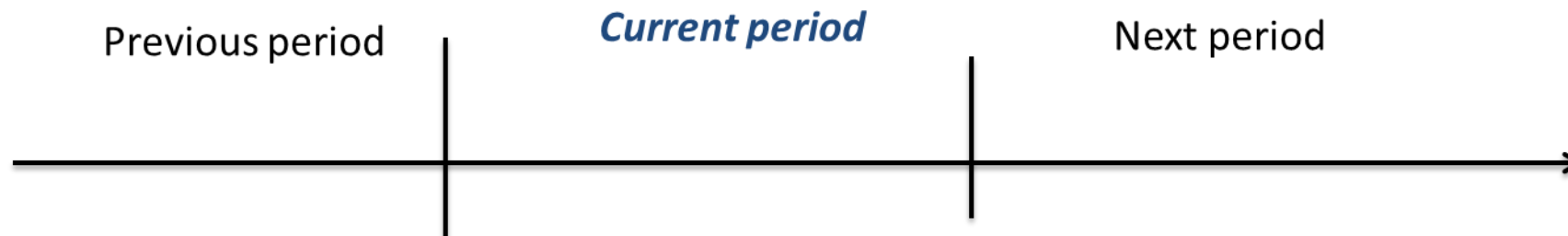
- **Revenue recognition:** Recording **revenues** when they are **earned** by providing goods or services to customers.
- **Matching principle (Expenses recognition):** Recording **expenses** in the **time period** they were **incurred** to produce **revenue**.
 - Once you recognize **revenue**, recognize the related **expenses** in the **SAME TIME PERIOD!**

Accrual basis

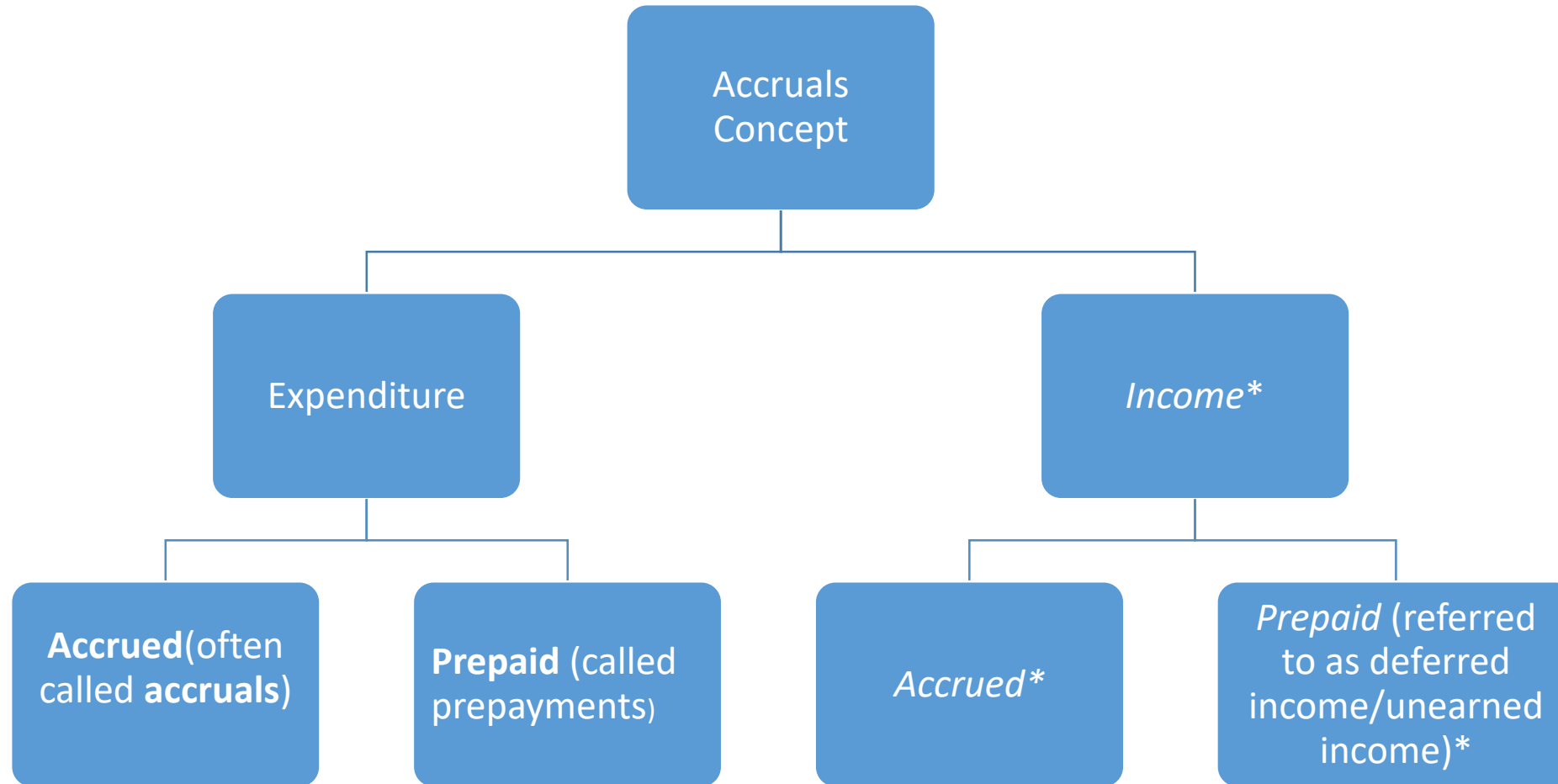
Revision from Lecture 3

Tips

- Accruals basis of accounting is **can be difficult and confusing!**
 - In particular, there can be a time difference between the time of cash transaction and the time of recognition (revenue & expenses).
- **DRAWING A TIMELINE** may be useful for you!



Accounts under periodic inventory system



The composition of accruals

- **Accrued expenses (accruals)** arise where services are paid for in **arrears**; e.g. electricity, gas
- An **accrual** may comprise either or both of the following:
 1. Invoices received, but not paid at the end of accounting period (**fixed amount in the invoice = expense for the period**);
 2. The value of services received for which an invoice has not been rendered at the end of the accounting year. (**estimated amount = expense for the period**)
- Accruals are **liabilities** in the SOFP

Example

John prepares accounts to 31 December each year. On 10 January 2024 he pays a gas bill that relates to the period from 1 Oct – 31 Dec 2023.

How should the gas bill be treated in the financial statements of 2023?

Although the payment only goes through the bank account in 2024 it should be included in the financial statements for the year ended 31 December 2023 as it was incurred during this period.

Accruals - Double Entries

Year end Adjustments for Accruals (Accrued Expenses)

These usually are made at year end and are made by a journal entry

Dr Expense (SPL)	XX	
Cr Accruals (SOFP - liability)		XX

Description

Expense **incurred** in the period not previously recorded.

Reversing out accruals

Accruals brought forward at the start of the year must be reversed

Dr Accruals (SOFP – liability)	XX	
Cr Expense (SPL)		XX

Description

Reversal of opening accrual

Accruals - Double Entries Example

Electricity is paid for in arrears. On 1 February 2024, £300 is paid for the 3 months from 1 November 2023 until 31 January 2024. Show the adjusting journal entry that would be made at the accounting year end on 31 December 2023

31 December 2023 (Recording the year end adjustment)

	£
Dr. Electricity expense a/c	200
Cr. Accruals	200

Accrued Expenses – Pro forma ledger entries (T-account)

<i>Light and Heat a/c</i>					
20X1	Details	Amount (£)	20X1	Details	Amount (£)
	Bank	Y	1-Jan	Opening accrual/accrual reversed	X
31-Dec	Closing accrual	Z	31-Dec	Statement of profit or loss	Y+Z-X
		<u>Y+Z</u>			<u>Y+Z</u>
			20X2		
			1-Jan	Opening accrual/accrual reversed	Z

The effect of these transactions is to ensure that the amount transferred to the statement of profit or loss reflects the total value of the services that have been received during the current year

Steps

1. Reverse closing accrual from previous accounting period (X)
2. Post all payments for the expense during the period (Y)
3. Enter any accruals at the end of the period (Z)
4. Balance the account (balance goes to Statement of Profit or loss a/c)

Worked Example 16.1 (1/3)

D. Spring has an accounting year ending on 31 December. The following electricity payment are made every three months (quarterly) through bank transfer.

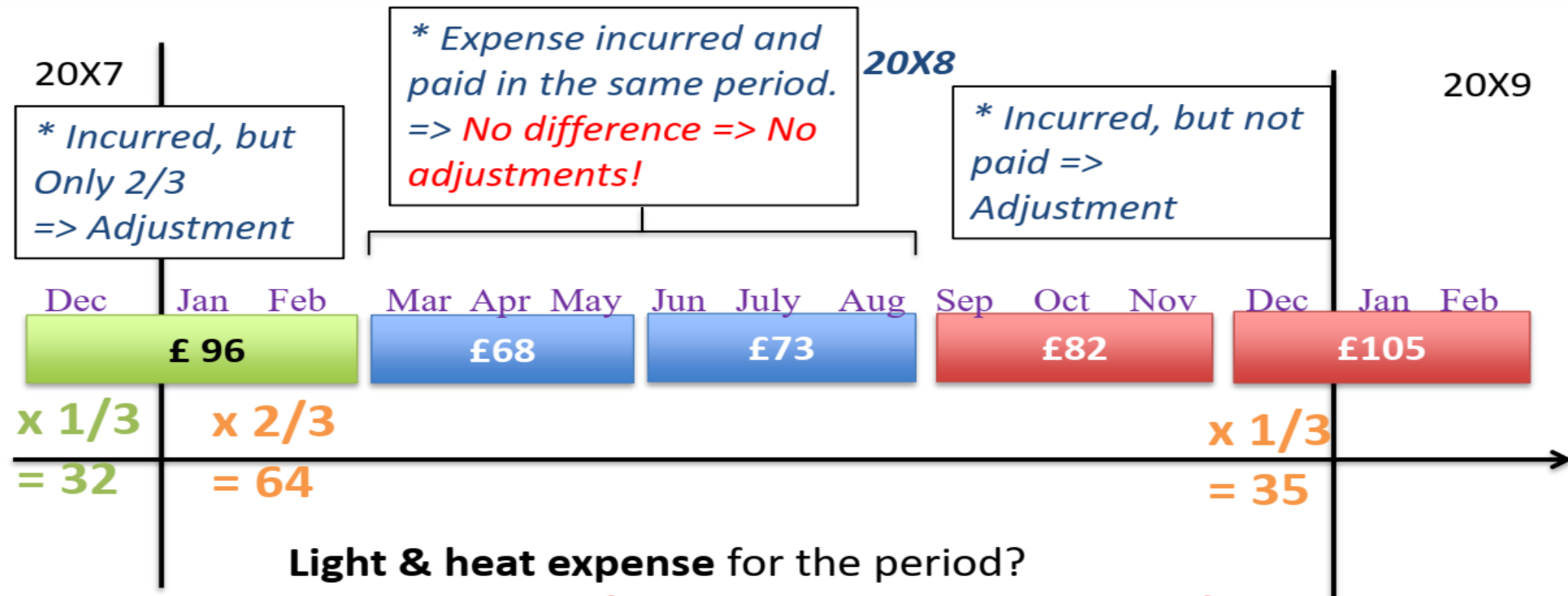
<i>Date paid</i>	<i>Quarter ended</i>	<i>£</i>
29 Mar 20X8	28 Feb 20X8	96
7 July 20X8	31 May 20X8	68
2 Oct 20X8	31 Aug 20X8	73
5 Jan 20X9	30 Nov 20X8	82
3 Apr 20X9	28 Feb 20X9	105

Show the entries in the light and heat account for the year ended 31 December 20X8 and the relevant statement of financial position extract

Student Question

How much of this expense relates to the accounting period from 1 January 20X8 to 31 December 20X8?

Worked Example 16.1 (2/3)



Light & heat expense for the period?

$$= 96 - 32 (96 \times 1/3) + 68 + 73 + 82 + 35 (105 \times 1/3)$$

$$= \text{£}322$$

Expense recognition

TIME PERIOD they were incurred to produce revenue.

Matching

Worked Example 16.1 (3/3)

Light and Heat a/c

20X8	Details	Amount (£)	20X8	Details	Amount (£)
29-Mar	Bank	96	1-Jan	Accrual reversed	32
7-Jul	Bank	68	31-Dec	Statement of P&L	322
2-Oct	Bank	73			
31-Dec	Closing Accrual	117*			
		354			354

SPL for year ended 31 Dec. 20X8

Less Expenses

Light&Heat **£322**

[= 96 – 32 (96x1/3) + 68 + 73
+ 82 + 35 (105x1/3)]

SOFP as at 31 Dec. 20X8 (extract)

Current Liabilities

Accruals **£ 117***

* 117 = 82 (Not paid until 5 Jan. 20X9) + 35 (Not paid until 3 Apr. 20X9)

The composition of prepayments

- The accruals concept also gives rise to prepayments
- **Prepayments/prepaid expenses** are expenses that have been paid for but have not yet been received at the end of an accounting year.
- They should not be charged against profit until a later period because they relate to that later period.
- Prepaid expenses arise where services are paid for in advance; e.g. rent, road tax, insurance.
- **Prepayments are Assets in SOFP**
- The amount of the prepayment is ascertained by determining on a time basis how much of the payments made during the current accounting period relate to the services that will be received in the next accounting period.
- Therefore, a prepayment has to be taken out of this year's ledger account and transferred to next year's ledger account.

Prepayments – Simple Example

John prepares accounts to 31 December each year. On 10 December 2023, John pays for insurance on his business premises for the 12 months commencing 1 January 2024.

Required

How should the insurance payment made in December 2023 be treated in the financial statements of 2023.

Solution

Although the payment was made in 2023, the expense should not appear in the accounts of 2023. The accounts will show a prepaid expense/prepayment in current assets in the SOFP for the amount of the insurance cost and the expense will be recorded in the SPL in 2024.

Prepayments - Double Entries

Adjustments for Prepayments at Year End

These usually are made at the year end and are made by way of a journal entry

Dr Prepayments (Assets)

Cr Expense (SPL)

Description

Expense recorded in the period, but not incurred until the next period. Therefore, it has to be taken out of this year's expense ledger account and transferred to next year's expense ledger account.

Reversal out of opening Prepayment in the next accounting period

Dr Expense (SPL)

Cr Prepayments (Assets)

Description

Reversal of opening prepayment

Prepayments - Double Entries Example

Rent is paid for 3 months in advance. On 31 October 2023, £1,800 is paid by cheque for the rent for the 3 months starting on 1 November 2023 and this was recorded as an expense. The accounting year end is 31 December. What are the journal entries to record the expense on 31 October and the adjusting entries that should be made at the year end on 31 December 2023?

31 October 2023 (Recording the expense)

	£
Dr. Rent expense a/c	1,800
Cr. Bank	1,800

Adjustment at year end (31 December 2023)

	£
Dr Prepayments	600
Cr. Rent expense account	600

Prepayments - Proforma ledger entries (T-account) (accounting period 1-Jan to 31 Dec)

<i>Rent a/c</i>					
20X1	Details	Amount (£)	20X1	Details	Amount (£)
1-Jan	Opening prepayment/ Prepayment reversed	A	1-Dec	Statement of profit or loss/P&L a/c	A+B-C
1-Aug	Bank	B	31-Dec	Closing prepayment	C
		<u>A+B</u>			<u>A+B</u>
20X2					
1-Jan	Opening Prepayment /Prepayment reversed	C			

The effect of these transactions is to ensure that the amount transferred to the statement of profit or loss reflects the total value of the services that have been received during the current year

Steps

1. Reverse closing prepayment from previous accounting period
2. Post all payments for the expense during the period (B)
3. Enter any prepayments at the end of the period (C)
4. Balance the account (balance goes to Statement of Profit or loss/P&L a/c)

Worked Example 16.2 (1/3)

M. Waters has an accounting year **ending on 30 June**. The following amounts have been paid as rent:

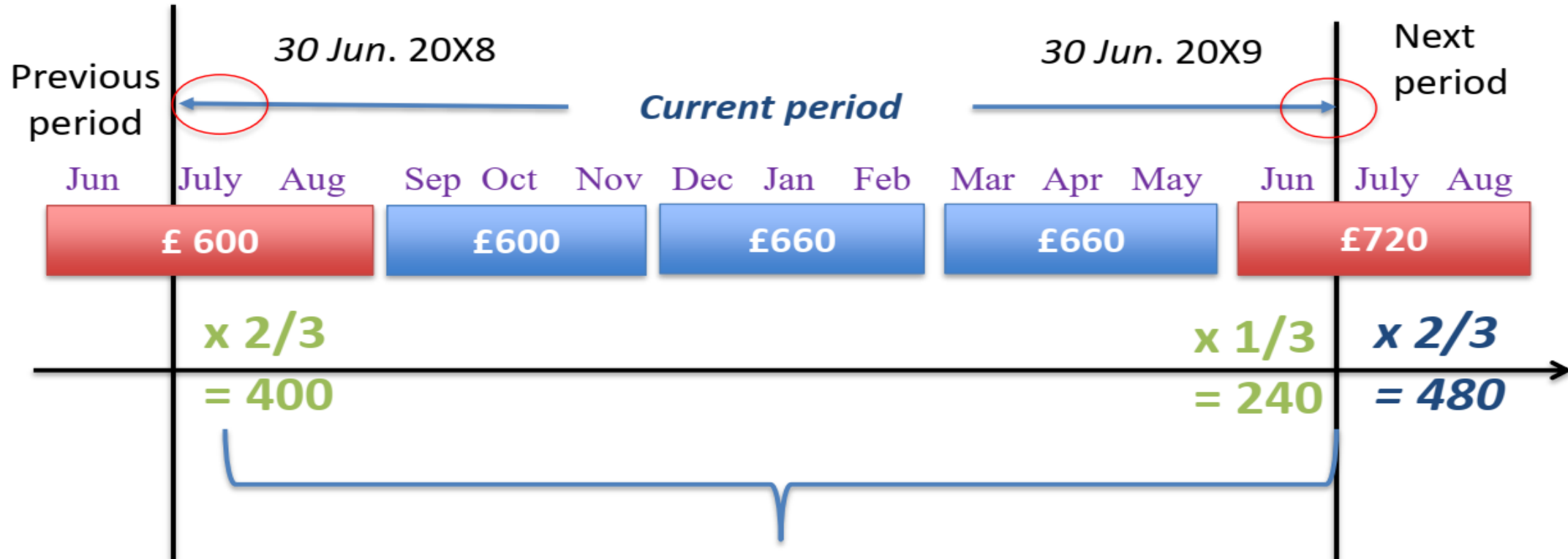
<i>Date paid</i>	<i>Quarter ended</i>	£
2 June 20X8	31 Aug 20X8	600
1 Sep 20X8	30 Nov 20X8	600
3 Dec 20X8	28 Feb 20X9	660
5 Mar 20X9	31 May 20X9	660
4 June 20X9	31 Aug 20X9	720

Show the entries in the rent account (T-account) for the year ended **30 June 20X9** and the relevant statement of financial position extract.

Worked Example 16.2 (2/3)

Expense
recognition

TIME PERIOD they were incurred **to**
produce revenue.



Rent exp. for the period?

$$= 400 (600 \times \frac{2}{3}) + 600 + 660 + 660 + 720 - 480 (720 \times \frac{2}{3}) = \text{£}2,560$$

Worked Example 16.2 (3/3)

Rent a/c for year ended 30 June 20X9

20X8	Details	Amount (£)	20X9	Details	Amount (£)
1-Jul	Prepayment Reversed	400			
1-Sep	Bank	600			
3-Dec	Bank	660			
20X9					
5-Mar	Bank	660	30-Jun	Statement of P & L	2,560
4-Jun	Bank	720	30-Jun	Closing Prepayment	480
		<u>3040</u>			<u>3040</u>

SPL for year ended 30 Jun. 20X9

Less Expense

Rent £2,560

[=400 (600x2/3) + 600 + 660 + 660 + 720-480 (720x2/3)]

SOFP as at 30 Jun. 20X9

Current Assets

Prepayments £ 480

Summary of effect of accruals and prepayments at year end on profit and net assets

	Effect on Expenses	Effect on Profit	Effect on assets/liabilities
Accruals	Increases Expenses	Reduces profit	Increases Liabilities
Prepayments	Reduces expenses	Increases Profit	Increases assets

Homework

- ▶ Review the content of this lecture
- ▶ Attempt the tutorial questions before your tutorial

Thanks for your listening

